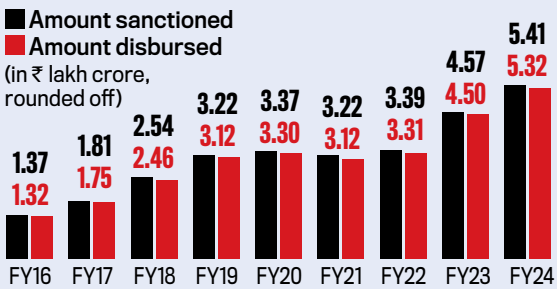
MORE MEASURES TO BOOST JOBS

The Union budget has announced several incentives for MSMEs and start-ups, which are expected to push job creation

- **The Rs 2.2 lakh crore central boost to the housing sector over the next five years under the PM Awas Yojana Urban 2.0 will benefit MSMEs in a big way as 60 per cent of the product categories in housing come from the small scale segment**
- **A credit guarantee scheme has been proposed for MSMEs in the manufacturing sector for facilitating term loans to purchase machinery and equipment without collateral or third-party guarantee. So, MSMEs can now go in for fresh and faster loans**
- **There's also a new mechanism for facilitating continuation of bank credit to MSMEs during their stress period. Under this, the details of which are awaited, banks will either offer government-guaranteed loans to MSMEs or the government will directly create a fund from where banks can draw to fund MSMEs**
- **The Centre has also abolished angel tax for all classes of investors. This should enhance funding in a sector that has gone through a tumultuous phase after the Covid-19 pandemic**
- **Limit of Mudra loans (to help small-time entrepreneurs under the Pradhan Mantri Mudra Yojana) enhanced from the current Rs 10 lakh to Rs 20 lakh for those with a clean repayment record. Budding entrepreneurs will thus find more funds to give wings to their dreams, aiding in job creation**

MUDRA LOANS: A REPORT CARD



Source: www.mudra.org.in



CHANDRADEEP KUMAR

over a period of five years. Youth aged 21 to 24, who are neither employed nor engaged in full-time education, will be eligible to apply. The scheme includes a monthly internship allowance of Rs 5,000 and a one-time assistance of Rs 6,000. While company participation in the scheme is voluntary, they are expected to cover the training costs and 10 per cent of the internship expenses from their CSR (corporate social responsibility) funds. This initiative is part of a broader effort to foster a culture of skilling and apprenticeships in the country. Says Seth, "It is to give our underprivileged youth exposure to successful businesses for 12 months and open their minds so that they can aspire to do bigger things." Somanathan clarifies, "We felt it was not proper to burden industry with a compulsory apprenticeship system that might affect its competitiveness. The difference in the scheme is that there is no statutory compulsions or provisions governing the scheme or legal requirements or compliances. It's totally voluntary." Meanwhile, the Opposition criticised the ELI schemes, with Congress leader Jairam Ramesh claiming on X that they were "Cut, Copy and Paste in Haste" from the party's Nyay Patra poll manifesto and "botches up the policy". The government brushed the charges aside.

FIX THE PLUMBING

There are mixed assessments of how the corporate internship programme will pan out. Bagchi is sceptical of its success and says, "Among corporates, there are leaders and laggards when it comes to skilling. Barring a few, most are laggards who have no interest in human development at the